



INSTRUCTIONAL AREA

Economics

PRINCIPLES OF FINANCE

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- “The event will be presented to you through your reading of the 21st Century Skills, Performance Indicators and Case Study Situation. You will have up to 10 minutes to review this information and prepare your presentation. You may make notes to use during your presentation.”
- “You will have up to 10 minutes to make your presentation to the judge (you may have more than one judge).”
- “You will be evaluated on how well you meet the performance indicators of this event.”
- “Turn in all of your notes and event materials when you have completed the event.”

21st CENTURY SKILLS

- Critical Thinking – Reason effectively and use systems thinking.
- Communication – Communicate clearly.
- Creativity and Innovation – Show evidence of creativity.

PERFORMANCE INDICATORS

1. Explain how organizations adapt to today's markets.
2. Describe the economic impact of inflation on business.
3. Explain the economic impact of interest-rate fluctuations.
4. Explain types of investments.

EVENT SITUATION

You are to assume the role of a financial advisor at BOWTIE INVESTMENTS. A client (judge) is considering opening a savings account to start saving for future education expenses but is unsure of the best way to begin saving in the current economic climate.

The client (judge) wants to know how interest rates, inflation, and the overall economy could impact their savings. They have heard that interest rates have been rising, but they are confused about how this could affect the growth of their savings in a bank account.

You will explain how interest rates affect savings, what inflation is, and how both of these factors can impact the future value of money. You will also discuss how current economic conditions might influence the decision to save money now or later.

The role-play will take place in your office at BOWTIE INVESTMENTS. The client (judge) will begin by greeting you and asking for your advice on saving for education in the current economic environment. After you have explained the concepts and answered the client's (judge's) questions, the client (judge) will conclude the role-play by thanking you for your advice.

Possible Judge's Questions:

1. How does inflation impact the purchasing power of the money I save today, and what strategies can help offset this impact?
2. Given the current economic conditions, explain why you would recommend one of the following types of investment options: a high-yield savings account, a certificate of deposit (CD), or another savings option?

Rate the participant's ability to:		Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Explain how organizations adapt to today's markets.	0-1-2-3	4-5-6-7	8-9-10-11	12	
2.	Describe the economic impact of inflation on business.	0-1-2-3	4-5-6-7	8-9-10-11	12	
3.	Explain the economic impact of interest-rate fluctuations.	0-1-2-3	4-5-6-7	8-9-10-11	12	
4.	Explain types of investments.	0-1-2-3	4-5-6-7	8-9-10-11	12	
SOLUTION						
5.	Unique Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
6.	Practical Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
7.	Effective Develop a solution that achieves relevant outcomes.	0-1-2	3-4-5	6-7	8	
CAREER COMPETENCIES						
8.	Critical Thinking Think critically to understand and solve problems.	0-1	2-3	4-5	6	
9.	Communication Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
10.	Decision Making Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSION						
11.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2-3	4-5-6	7-8-9	10	
TOTAL SCORE						